

(NASDAQ: ABNB) Airbnb: SHORT

Current S/P (9/24/2026): **\$151.39** | Mkt Cap: **\$89.3B** | Target Price: **\$120** | Implied Return: **-20.6%** | Horizon: **12 months**
| EV/NTM EBITDA: **14.9x** Street, **17.0x** ours | SI: **3.59%**

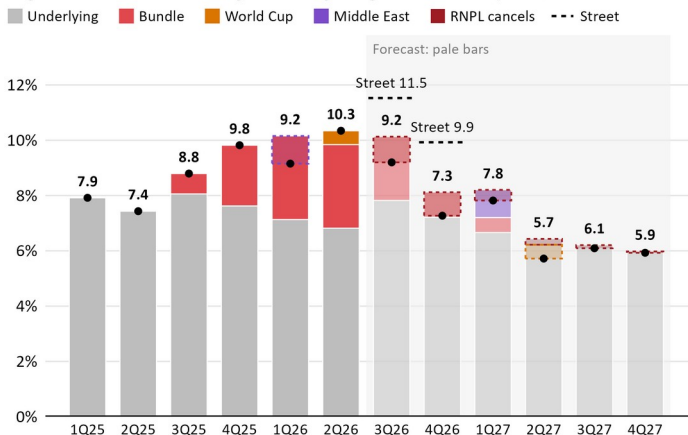
Investment Thesis: We recommend a **SHORT** on ABNB with a **\$120** target, **-20.6%** over 12 months. The market has missed one fact: Airbnb's growth has slowed every year since 2022, and its 2026 re-acceleration was bought, not earned. A one-time bundle of booking features added ~3pts of nights growth on top of an underlying ~7% that is heading to ~6%, and that lift now laps. The **5 Nov** 3Q26 print starts the reveal: we expect nights of **+9.2%** against the Street's **+11.5%** and a 4Q26 guide below consensus. The **February** 4Q26 print, when management frames 2027, completes it. FY27 consensus then converges to our numbers through 2027: revenue **+7.5%** (Street **+11.7%**) and adjusted EBITDA of **\$4.89bn**, **16%** below the Street's **\$5.83bn**. Lower estimates at the lower multiple that slower growth earns give \$120. ABNB is a liquid \$89B large cap with low short interest, and the thesis plays out through estimate cuts over several prints, not one binary event, so the position can be sized.

The Setup: a slowing platform bought a re-acceleration. Nights growth fell from **+31.0%** in 2022 to **+13.8%**, **+9.7%** and **+8.4%** in 2023-25, bottoming at **+7.4%** in 2Q25. Management answered with a bundle of conversion features: Reserve Now, Pay Later (RNPL: \$0 at booking, Aug 2025), 14-day free cancellation and a 15.5% host-only fee (Oct 2025). Nights re-accelerated for five straight quarters to **+10.3%** in 2Q26, and the stock rose **17.4%** on the August print. Management credited the bundle with "over 200 basis points" of nights in 4Q25 and "approximately three points" in 1Q26, then stopped sizing it. Without the bundle and one-off events, nights grew **7.1%** in 1Q26 and **6.8%** in 2Q26 (Graph 1).

Why the market is wrong. The Street has taken the re-acceleration as the new trend. After 19 straight beats of Airbnb's own revenue guide, analysts carry management's words forward: all 28 Bloomberg estimates put 3Q26 nights at **+10.0%** or higher (mean **+11.5%**), an acceleration from 2Q26, and LSEG has FY27 revenue at **+11.7%**, treating the bundle's one-time lift as lasting demand. The 23 Sep sell-off (-7.6%, when Expedia announced an integration with Meta's Muse AI agent) cut the multiple, not the estimates: LSEG's FY27 numbers were unchanged when re-pulled that day. Our variant view is on the estimates.

Graph 1: Ex the bundle, nights grow ~7%, heading to ~6%; 2026's re-acceleration was the bundle, and it laps from 3Q26

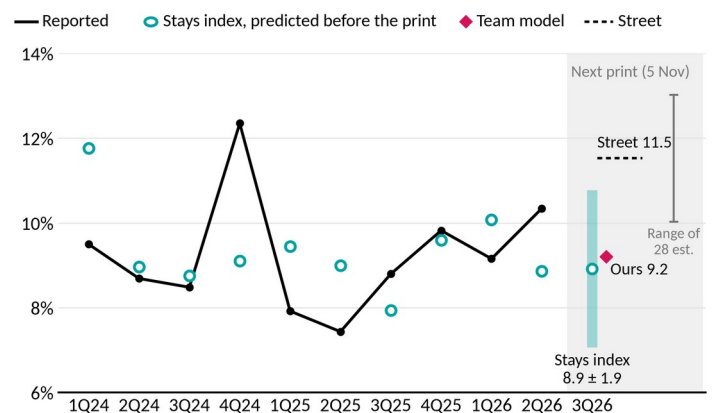
Nights and Seats Booked, year-over-year growth and its parts, %



Source: Airbnb letters and earnings calls; Bloomberg consensus (12 Sep 2026); team model v2. Dashed boxes are subtracted; each bar ends at net growth. Bundle = RNPL, 14-day free cancellation, host-only fee. World Cup +0.5pt in 2Q26 is a team assumption.

Graph 2: Counting completed stays, 3Q26 nights grow ~9%, below every Street estimate

Nights y/y: reported vs our stays index (out of sample), %



Source: Inside Airbnb review dumps (123 cities); Airbnb letters; Bloomberg consensus (12 Sep 2026); team model v2. Circles to 2Q26: walk-forward predictions, refit each quarter (1Q24-2Q26, n 10). 3Q26: mapping frozen on 1Q23-2Q25; bar = ±1 walk-forward RMSE.

Why the bundle creates the illusion of growth. A conversion feature raises the level of bookings once, so it lifts the growth rate only until it laps: US RNPL in 3Q26, the cancellation and fee legs in 4Q26, RNPL outside the US in 1Q-2Q27. RNPL has also stopped spreading: "roughly 20%" of GBV in 1Q26, when guests outside the US had it for only part of the quarter, and only "over 20%" in its first full global quarter. The cost arrives later. RNPL bookings "have experienced higher cancellation rates" (2Q26 10-Q), and the CFO put the platform rate at "maybe 16%... going to 17%", which implies **~22%** on RNPL bookings. Guests pay just before check-in, so the booking counts at once while the cancellation often lands a quarter later. Net of cancellations, the bundle adds **~1.4pt** in 3Q26 and **~0.1pt** in 4Q26. Our model has nights at **+9.2%** in 3Q26 and **+7.3%** in 4Q26 (Street **+11.5%** and **+9.9%**), and **+6.4%** for FY27.

Our proof: we count the stays that actually happen. Bookings include reservations that later cancel; completed stays do not. Our stays index is built from **75 million** Inside Airbnb guest reviews across **123 cities**, reading each review month at the same age in two annual dumps so that the 15-16% of reviews that disappear each year cancel out. Covered cities show

3Q26 stays growth of **5.99%**; a two-parameter mapping frozen on pre-RNPL history turns that into **+8.9%** global nights (± 1.9 pp). Refit each quarter, the index has predicted reported nights with about **0.7x** the error of a naive forecast in both backtest windows (Graph 2). Twelve external series (STR hotel RevPAR fading from +8.2% in July to ~4% by mid-August, Eurostat, BLS, INE, EUROCONTROL flights) read **+9.2%**. Every route lands below the lowest Street estimate; our model gives an **8%** chance of a print at or above consensus.

Why Airbnb is no longer a growth company. It had to buy growth because the organic engine is running down.

- **Growth comes from new homes, not more demand per home.** Nights per active listing have held at ~62.6 since 2022, and stays at existing listings are shrinking (-3% to -7% y/y in 2026).
- **The core market is saturated.** North America fell from **39.8%** of nights (1Q22) to **~29%**; Latin America and Asia-Pacific, at FY25 ADRs of **\$95** and **\$118** against **\$255**, now supply over half of growth.
- **Each night costs more to win.** Cash S&M rose from **16.5%** of revenue (FY23) to **19.4%** (FY25); each extra S&M dollar bought **\$6.6** of revenue in FY23 and **\$2.7** in 1H26.
- **Regulators are removing supply where Airbnb is densest** (New York's Local Law 18; **65,122** listings removed in Spain; Barcelona's licences lapse in 2028), and the new businesses are small: hotels are a single-digit share of nights and ad revenue is zero.

Margins take the hit. The Street's FY27 margin of **36.8%** (from **35.6%**) needs cash-cost growth to slow from **15.0%** to **9.7%**, the slowest since the IPO, while S&M has outgrown revenue for nine straight quarters. Even if costs follow the Street's plan and flex down with our revenue at the historical rate, FY27 margin is **34.6%** and FY26 **34.9%**, below management's "at least 35.5%" floor; on our costs FY27 is **32.6%**.

Macro no longer helps. The Fed resumed hiking on 16 Sep, CPI airfares were +25.5% y/y in July, CoStar sees US hotel RevPAR growth halving from +4.4% (2026) to +2.1% (2027), and Booking guided 3Q26 room nights to +3-5%. We do not lean on it: dearer flights also push travellers toward drive-to trips, where Airbnb is strongest.

Catalysts. 5 Nov (3Q26 print): nights +9.2% vs +11.5%; a 4Q26 revenue guide below the Street (\$3.08bn ours vs \$3.16bn), a 4Q26 nights descriptor below "low double digits", and the FY26 floor at risk (ours 34.5%). The stock reprices on nights guidance, not revenue beats: its three largest post-print falls (3Q22 -13.4%, 1Q23 -10.9%, 2Q24 -13.4%) came on revenue beats with nights guided lower. First FY27 cuts follow. **~11 Feb 2027 (4Q26 print):** the 1Q27 guide laps a +17.9% revenue comparison, and management sets its FY27 margin outlook (every February letter since 2023 has carried one); FY27 consensus resets. **Through 2027:** prints at ~6% nights growth bring the Street to our numbers.

Valuation. On our numbers ABNB trades at **17.0x** NTM EBITDA against **14.9x** on consensus. Compressed multiples on our estimates (**13.4x** NTM, **12.2x** FY27, **77.2x** 4Q26 EBITDA, each 1.5-10 turns below consensus) give **\$117-123**; our target is **\$120**. This is conservative: at ~0.5 turns per point of growth, 4.1pts less FY27 revenue growth justifies ~2 turns.

Risks & Mitigants.

1. **Airbnb's AI agent re-ignites growth.** Chesky has committed to an agent "next year" on inventory no one else has. *Mitigant:* not a 12-month catalyst. Airbnb is absent from every AI booking channel launched so far (ChatGPT apps, Oct 2025, "not quite ready" per Chesky; Google AI Mode hotel booking, Aug 2026; Meta's Muse), where Booking, Expedia, Marriott and Hilton are present. Joining means paying for distribution it now gets free (~90% of traffic is direct or unpaid). AI savings are small and being spent: the 2Q26 10-Q credits AI with **\$17M** of lower support costs in a quarter when S&M rose **\$184M**; management will "reinvest most of these efficiencies", its guide assumes "a material increase" in AI spend, and our model already credits the savings.
2. **Buyback.** ~\$2.3bn remains at 5 Nov at ~\$1.1bn a quarter, and a \$6bn+ reload is likely (every authorization came in a print-day letter). *Mitigant:* it moves per-share numbers, not EBITDA or the multiple; ~5% of shares a year is already in our model and consensus; SBC (\$1.6bn in FY25) absorbs over a third; authorization days show no excess return, and buying did not step up after the Aug 2025 sell-off.
3. **Loyalty and paid ads.** *Mitigant:* no loyalty program exists yet, only tests, and management already guides FY26 take rate "relatively flat" on "higher customer incentives related to new businesses", which is what loyalty perks are. Sponsored listings are unlaunched (analysts expect 2027); even \$250M of ad revenue at a 70% margin is ~\$175M of EBITDA, a fifth of our \$0.93bn FY27 gap.
4. **The guide is delivered:** we cover if 3Q26 nights print $\geq 10.3\%$ with 4Q26 guided "low double digits".
5. **Timing:** February prints were up days in 5 of 6 years; we hold for the estimate cuts, not that day-1 move.